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INDIA TOMORROW



INFRASTRUCTURE

Take the case of ports and airports. Port capacity at 600 million megatonnes is already stretched. Major ports are running at 95 per cent utilisation and demand is growing at 10 per cent annually. It is expected that the port capacity would be 1,000 million megatonnes by 2012. Turnaround time and equipment productivity are below global standards.

Air travel penetration in India is only a quarter of Brazil's, one-fourth of China's and 2 per cent of the United States. For airports, the challenge has been in project creation and implementation of PPP projects. The Airports Authority of India has only managed to offer four of the 29 airports planned. These four PPP airports have achieved financial closure and started construction.

The key inducements are:

- ▶ Tax holiday on 10 years of project income.
- ▶ Automatic approval for 100 per cent equity investments in all the infrastructure sectors.
- ▶ Infrastructure projects faced restrictions on both the quantum (\$100 million) and rate of European Banking Guides and Resources (London Interbank Offered Rate +250 bps). Quantum has now been increased to \$500 million and the rate cap eliminated.

What needs to be done?

- ▶ The Government has been giving fiscal incentives to mega and ultra mega power projects. Similar benefits should be extended to other power sector projects, including transmission and distribution projects.
- ▶ The Government should consider providing subsidy in interest rate for capital expenditure being incurred in the infrastructure sector.
- ▶ The infrastructure sector is also experiencing challenges in achieving financial closure of PPP projects because of sector limits as well as single borrowing and group exposure norms having been exhausted for the time being.
- ▶ Banks should be allowed to raise long-term infrastructure bonds.
- ▶ Infrastructure projects should be granted priority sector status.
- ▶ The Government must provide take-out financing of infrastructure loans.
- ▶ Insurance companies, provident funds, pension funds must be permitted to invest in infrastructure projects.
- ▶ The Government should ensure creation of a framework to assure the private sector of market-driven returns at reasonable risks. ■



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